

International Productions, puts it, "Hollywood studios will become the force for transparency in India." They will also, he believes, be able to raise the bar on scriptwriting and visual effects. Or as an agent at William Morris puts it, "Bollywood will make more westernised movies but in the Indian genre, culture and language."

Is it any wonder then that News Corp chairman Murdoch, Walt Disney chairman Bob Iger and Time Warner Chairman and CEO Richard Parsons have officially declared India to be the winner in the India vs China debate for Hollywood? In 2005, Parsons, while speaking at a lunch with the American

China? Democracy and the independence of the entertainment industry from the government? Not just that. China has a poor movie-going habit, just about one-twentieth the rate of Indian theatre attendance, thanks to a long period under Mao Tse Tung when films became agitprop rather than cultural entertainment. It is also less than welcoming to Hollywood films (allowing only 20 to be screened every year), has a huge piracy problem (95 per cent of the one billion videodiscs sold in the country each year are said to be pirated) and does not allow any foreign private broadcasters, preventing the big conglomerates from building on their synergies. In contrast, Sony, News Corp, Disney and Warner have been present and working in India since at least 1991. It's the kind of synergy that Disney is dreaming of planning local versions of its hit shows—9X for instance, has been pursuing Disney for Hindi rights to the hit show, *Desperate Housewives*. And it's the kind of marketing clout that Fox wants to exploit with its flourishing Star TV network. As Singh puts it, "We want Indian producers to see Twentieth Century Fox as a one-stop shop to monetise all rights other than music and to allow them to access our global distribution network."

India has other advantages. It is cost effective, with even the biggest budget movies rarely exceeding \$25 million. It also has, as Gianopulos told Shah over dinner, a belief in "capitalism with

AHEAD OF ITS TIME: Stills from the movie *Ek Haseena Thi* (below) and *Saawariya*



Time Machine	2002		2005		2006		2007		2008	
	2	0	2	0	2	0	2	0	2	0
	Twentieth Century Fox enters into a three-movie deal with Ram Gopal Varma. Releases only <i>Ek Haseena Thi</i> .		Miramax produces <i>Bride and Prejudice</i> , directed by British Indian Gurinder Chadha, for \$7 million.		Viacom's Tom Freston announces Paramount wants to invest in Bollywood. But he is given the heave-ho by Sumner Redstone.		Sony Pictures Entertainment produces <i>Saawariya</i> , and announces a co-investment deal with Eros International.		Fox Star Studios signs a two-film production deal with Vipul Shah's Blockbuster Entertainment.	



Chamber of Commerce in Hong Kong, called China "a very tough market for a media and entertainment company. It's hard to make long-term investments if you don't exactly know what the playing field is going to look like." Globalisation is the order of the day in Hollywood. Disney, whose businesses range from movies to theme parks and resorts, made almost a quarter of its \$35.5 billion revenues outside North America last year. And only last month, Iger said, "the best way for Disney to grow in markets such as India, China and Russia is for those markets to have a sense of ownership". As for Murdoch, he has repeatedly pointed out the advantages of India's rule of law, despite it being an "imperfect democracy".

So what makes India more attractive than

a soul". Indeed, in this second Great Depression, IFC CEO Sandeep Bhargava believes Bollywood is being held up as a microcosm of the Great Indian Story. For long time independent consultant like Prakash Mishra, who was part of the original management team at Star TV, the change in Hollywood is palpable, not in the least because of Reliance Anil Dhirubhai Ambani Group's joint venture with DreamWorks. He compares the current scenario to a conference of investment bankers in Los Angeles in 1993 when he had to shout to be heard amid a litany of suits who said India did not have the adequate regulatory framework in place.

Now, as Panitch says, Bollywood is more than just the next big thing. "We've realised it's going to be around forever."